

OCAD - ONE COMPANY A DAY

SERIES: AEROSPACE AND DEFENSE

RTX Corporation

RTX | New York Stock Exchange

US\$ 184.32 per share

Closing price, Thursday 8 October 2026, latest completed trading day



Executive Summary

RTX is the largest aerospace and defense company by revenue in this report's peer set (US\$93.5bn over the twelve months to June 2026), combining a commercial engine and avionics aftermarket franchise with a missile and air defense business whose Q2 2026 book-to-bill ratio was 2.4. The shares trade at 32.5 times trailing earnings after an 18 percent fall from the August high, so the debate is no longer about demand but about how much of a decade of compounding is already in the price. REASONED

Business

RTX earned US\$88.6bn of revenue in FY2025 through three segments: Pratt & Whitney (engines, US\$32.9bn), Collins Aerospace (avionics and aircraft systems, US\$30.2bn) and Raytheon (missiles, radars and air defense, US\$28.0bn). SOURCED Customers are airlines and aircraft makers (Airbus and Boeing together were 16 percent of Collins sales and Airbus alone 29 percent of Pratt & Whitney sales), plus the U.S. government (38 percent of group sales) and allied governments (international was 47 percent). SOURCED The model is to sell original equipment at thin margins and earn long-duration, high-margin aftermarket and sustainment revenue on the installed base. REASONED

Financial Condition

TTM to June 2026 revenue was US\$93.5bn (up 11.8 percent), operating income US\$11.5bn, EBITDA US\$15.9bn, net income US\$7.7bn and diluted EPS US\$5.68 under US GAAP. SOURCED Operating cash flow was US\$14.2bn and free cash flow US\$11.4bn on an operating-less-capital-expenditure basis, but management guides FY2026 free cash flow to only US\$8.50bn to US\$8.75bn, so the trailing figure is flattered by timing. CALCULATED Net debt including leases is US\$30.6bn, or 1.9 times EBITDA. CALCULATED

Market Position

Direct competitors are GE Aerospace (engines), Lockheed Martin and Northrop Grumman (missiles and defense systems) and Honeywell (avionics and aircraft systems), with Safran, Rolls-Royce, Boeing Defense and General Dynamics also relevant. REASONED The principal advantage is an installed engine and avionics base that locks in decades of service revenue; the principal weakness is the Pratt & Whitney geared turbofan powder metal programme, which cost about US\$3bn pre-tax in 2023 and still disrupts customers. SOURCED

Valuation

At US\$184.32 the market capitalization is US\$248.5bn and enterprise value US\$279.0bn. Trailing P/E is 32.5 times, EV/EBITDA 17.6 times, P/FCF 21.8 times on trailing and 28.8 times on guided FY2026 free cash flow, and the dividend yield is 1.6 percent. CALCULATED A ten-year DCF produces a base value of about US\$154 per share and a range of US\$133 to US\$184 for reasonable discount rates and terminal growth. CALCULATED

Investment Framework

WHAT IS ATTRACTIVE	Record backlog of US\$289bn (up 22 percent), 25 percent growth in Pratt & Whitney commercial aftermarket, Raytheon book-to-bill of 2.4 and ROIC rising from 4.7 percent in FY2023 to 9.4 percent.
WHAT IS CONCERNING	Valuation above both the defense peer group and the company's five-year average EV/EBITDA, goodwill and intangibles equal to 126 percent of common equity, and a Pratt & Whitney margin of only 8.3 percent.
WHAT MUST GO RIGHT	GTF fleet recovery on schedule, missile production ramps that match Pentagon demand, and adjusted segment margins moving toward 19 percent of sales.
WHAT COULD BREAK THE THESIS	A second durability issue on an engine family, reconciliation funding for munitions failing in Congress, or an airline traffic downturn that cuts aftermarket volumes.
PRICED IN	A terminal-year EBITDA margin near 23 percent (versus 17.0 percent today), or a discount rate near 7.7 percent, or revenue growth about 2.5 points a year above our base case for ten years.

Investment Profile

ASSESSMENT BY DIMENSION

Dimension	Assessment
Business quality	Good. Long-cycle installed-base annuity, but partly dependent on government budgets
Financial quality	Good and improving. Cash conversion above 1.5 times net income, though adjusted figures exceed GAAP by about US\$1.9bn a year
Competitive position	Strong moat in engines, avionics and air defense; second-tier in margin terms
Growth profile	Above average. Revenue CAGR 8.3 percent over FY2021 to FY2025, guidance for 8 to 9 percent organic in FY2026
Balance-sheet risk	Moderate. Net debt 1.9 times EBITDA, current ratio 1.01, large intangible base
Valuation	Full to optimistic relative to our DCF range and to peers
Market and technical profile	Weak near term: below 50-day and 200-day averages, RSI 33, 18 percent below the August high

Source: analyst assessment (Reasoned) based on figures reported in this document.

A. About the Business

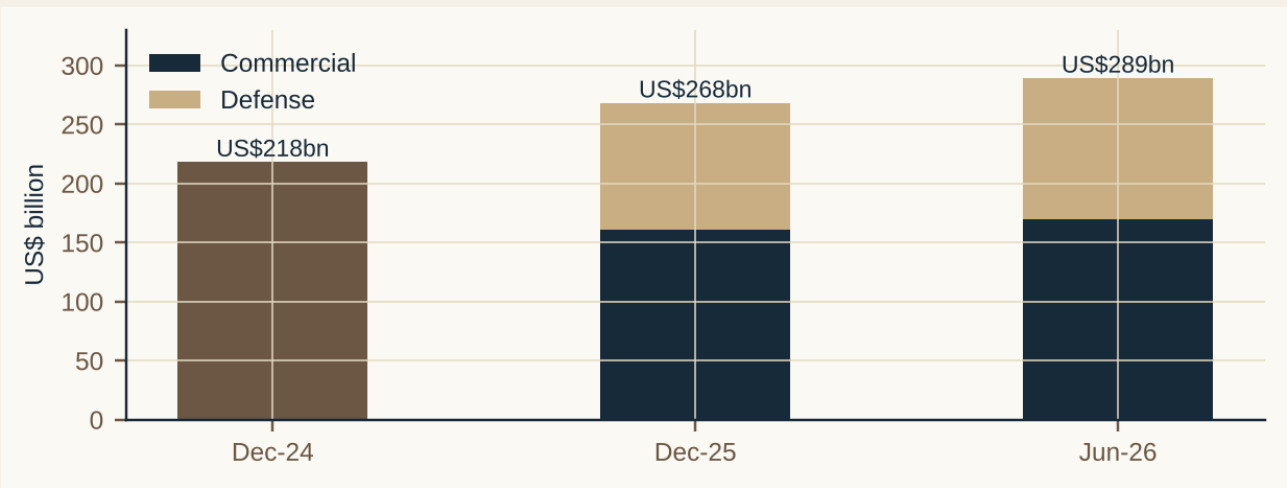
A1. Business Environment

RTX operates in two linked industries: commercial aerospace (aircraft, engines, components and the maintenance, repair and overhaul aftermarket) and defense (missiles, air defense, sensors, military engines and electronics). The value chain runs from raw materials and castings and forgings suppliers, through component and system makers (Collins), engine makers (Pratt & Whitney, GE Aerospace, Rolls-Royce, Safran), to airframers (Airbus, Boeing) and operators (airlines and governments), and finally to a lifetime of maintenance. Most economic value is captured at the engine and avionics level because suppliers sell the original unit at or near cost and then earn a service stream over 25 to 30 years. REASONED

Industry size gives a sense of the annuity. Global commercial MRO spending reached a record of about US\$136bn in 2025 and is forecast to grow at about 3.2 percent a year to about US\$193bn by 2036, with engines about half of the total. More than 17,000 commercial aircraft are on order, equal to about 12 years of production at current rates, and more than 3,500 engines are idle waiting for castings, forgings and sub-components. Engine overhaul turnaround has lengthened from 60 to 90 days in 2019 to 180 to 240 days. SOURCED

On the defense side the U.S. FY2027 budget request is US\$1.5 trillion, comprising a US\$1.15 trillion base budget and US\$350bn expected through a reconciliation bill. Munitions and missile procurement is requested at about US\$70.5bn against US\$24.4bn in FY2026, with PAC-3 interceptors rising from 357 to 3,203 and Standard Missile quantities from 166 to 540. Analysts quoted in the same source stress that solid rocket motors and seekers constrain the industrial base and that about 55 percent of the munitions request depends on reconciliation. SOURCED

RTX backlog: US\$289bn at June 2026



Source: RTX 2025 results release (27 January 2026) and RTX Q2 2026 results release (23 July 2026). Units: US\$ billion. The December 2024 split is not shown in the release.

INDUSTRY STAGE

Commercial aerospace: growing and supply-constrained, with a structural transformation toward longer-lived engines that need more maintenance and fewer new deliveries than demand implies. Defense: re-armament cycle in an early, politically driven phase. Both are cyclical in different ways, civil with air traffic and defense with budgets. REASONED

A2. What Does the Company Do?

Imagine joining RTX as a new employee. You work for one of three businesses that together sell aircraft engines, cockpit and cabin systems, missiles and radars. A customer first buys a product, such as a jet engine installed on a new Airbus A320neo or a Patriot air defense battery. The initial sale is the smaller part of the story: over the next decades the customer pays RTX for spare parts, repair visits, software upgrades and long-term support. Commercial original equipment is currently shrinking inside Pratt & Whitney (down 8 percent in Q2 2026) while commercial aftermarket is growing at 25 percent, which is why group margins are rising. SOURCED

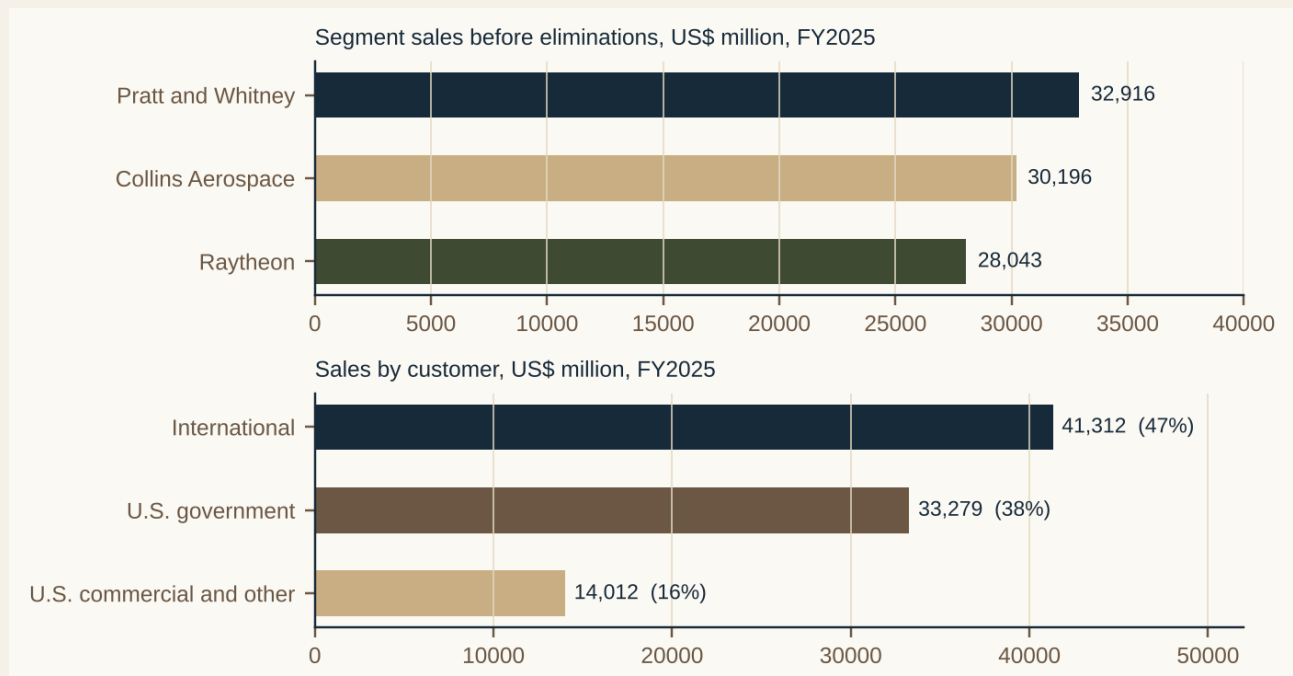
Segments and revenue streams

SEGMENTS, FY2025, US\$ MILLION

Segment	Sales	Growth	Adjusted operating profit	Adjusted margin
Collins Aerospace	30,196	6.8%	4,893	16.2%
Pratt & Whitney	32,916	17.3%	2,725	8.3%
Raytheon	28,043	5.0%	3,231	11.5%
Eliminations and other	-2,552	n/a	n/a	n/a
Total	88,603	9.7%	10,849	12.2%

Source: RTX 2025 results release, 27 January 2026 (sales and adjusted operating profit by segment). Growth, margins, eliminations and totals are calculated. The total margin divides summed segment adjusted operating profit by consolidated sales. Adjusted operating profit excludes acquisition accounting and restructuring, so it exceeds GAAP operating income of US\$10.4bn.

Segment and customer mix, FY2025



Source: RTX FY2025 Form 10-K (U.S. government and international sales, fiscal 2025) and RTX 2025 results release (segment sales). U.S. commercial and other is derived as total sales less U.S. government and international. Units: US\$ million.

How one dollar of revenue is used

Of each dollar of TTM revenue, 79.7 cents is cost of sales, 8.1 cents is operating expenses (research, selling and administration) and 12.3 cents is GAAP operating profit. After about 1.6 cents of interest and other items and 2.4 cents of taxes and minorities, 8.3 cents remains as net income. Operating cash flow is 15.2 cents because depreciation and amortization (4.7 cents) is non-cash and customer advances (unearned revenue of US\$22.7bn) finance working capital. Capital expenditure absorbs about 3 cents, leaving 12.2 cents of free cash flow, from which dividends take 4.0 cents. **CALCULATED**

1. CUSTOMER Airlines, Airbus and Boeing, U.S. Department of War and allied governments, business jet makers	2. PRODUCT AND SERVICE Engines, avionics and aircraft systems, missiles, radars and air defense, plus aftermarket support	3. REVENUE TTM US\$93.5bn: Pratt & Whitney 35 percent, Collins 33 percent, Raytheon 30 percent of segment sales	
4. COSTS 79.7 cents per dollar of cost of sales; 8.1 cents of operating expenses	5. OPERATING PROFIT 12.3 cents GAAP; adjusted segment margin about 12 percent	6. CASH FLOW Operating cash flow 15.2 cents, free cash flow 12.2 cents (TTM)	7. CAPITAL ALLOCATION Dividend US\$3.7bn, debt repayment US\$3.2bn, capital expenditure US\$2.8bn (TTM)

Source: calculated from StockAnalysis.com TTM figures to June 2026 (S&P Global Market Intelligence data). Segment shares use FY2025 segment sales before eliminations.

The most important parts economically are the commercial aftermarket (highest margin, tied to flight hours and the installed base), the GTF recovery (a drag on Pratt & Whitney margin that is now reversing) and missile production capacity, since backlog already exceeds three years of sales. **REASONED**

A3. Business and Relationship Network

ECOSYSTEM MAP

Node	Relationship	Why it matters economically
Pratt & Whitney	Engines: GTF (PW1000G), F135 for the F-35, PW4000 and military engines	Largest segment by sales, lowest margin, the engine for the Airbus A320neo family
Collins Aerospace	Avionics, interiors, landing gear, actuation, power systems	Boeing and Airbus together were 16 percent of Collins sales in 2025
Raytheon	Patriot, Standard Missile, AMRAAM, AIM-9X, LTAMDS radar	Backlog of US\$86bn, 48 percent international; benefits from munitions budgets
Airbus	Largest customer of Pratt & Whitney (29 percent of segment sales) and a Collins customer	A single airframer controls the delivery pace of GTF engines
U.S. government	38 percent of 2025 sales (US\$33.3bn)	Programme funding, pricing rules and export approvals
International governments and airlines	47 percent of 2025 sales (US\$41.3bn)	Foreign military sales and global fleets are the growth channel
Japanese Aero Engines Corporation, MTU Aero Engines	Risk and revenue sharing partners in the GTF programme (Pratt & Whitney holds a 51 percent net programme share)	The 2023 powder metal charge was booked at that net share
Suppliers	Castings, forgings, fasteners and solid rocket motor suppliers	Supply constraints idle more than 3,500 engines industry-wide and slow missile ramps
Competitors	GE Aerospace, Safran, Rolls-Royce, Honeywell, Lockheed Martin, Northrop Grumman, Boeing Defense, General Dynamics	Compete for engines, avionics, missile contracts and engineers

Source: RTX Form 10-K FY2025 (customer concentration, backlog, GTF programme), RTX 8-K of 11 September 2023 (51 percent net programme share), RTX Q2 2026 call summary (Raytheon backlog and awards). Partner names beyond those cited in the filings are Reasoned from industry knowledge. Largest institutional holders: Not Retrieved.

RTX also announced in July 2026 the sale of Blue Canyon Technologies (small satellites) for US\$620m, consistent with a continued pruning of non-core businesses after the 2023 to 2025 portfolio reshaping. SOURCED

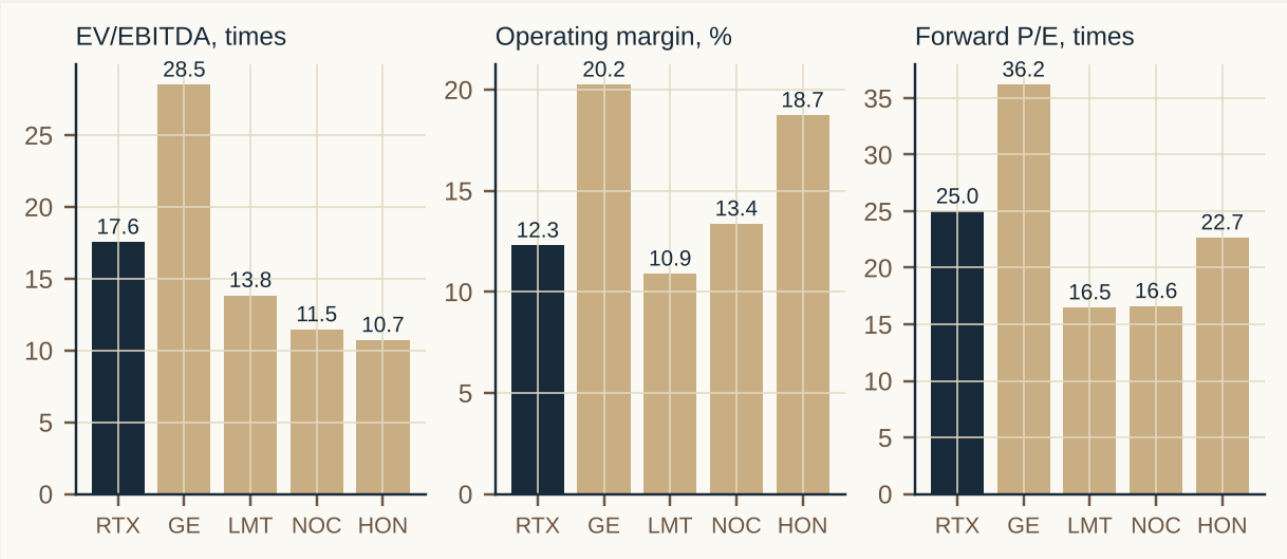
A4. Competition

COMPETITIVE COMPARISON, TTM, US\$

Company	Revenue	Op. margin	EV/EBITDA	Fwd P/E	Net debt
RTX	93.5bn	12.3%	17.6x	25.0x	30.6bn
GE Aerospace	50.6bn	20.2%	28.5x	36.2x	10.3bn
Lockheed Martin	77.0bn	10.9%	13.8x	16.5x	16.8bn
Northrop Grumman	42.9bn	13.4%	11.5x	16.6x	14.3bn
Honeywell	38.1bn	18.7%	10.7x	22.7x	25.8bn

Source: StockAnalysis.com statistics pages, accessed 9 October 2026 (S&P Global Market Intelligence data). Net debt as reported by the provider, including leases. RTX EV/EBITDA is the provider value (17.55x); the report calculates 17.6x at the 8 October close. Honeywell figures reflect the perimeter and share count reported by the data provider.

Peer valuation and profitability



Source: StockAnalysis.com, 9 October 2026. Units: times and percent.

WHO COMPETES WITH RTX AND WHY THEY WERE CHOSEN

Peer	Overlap with RTX	Position versus RTX
GE Aerospace	Direct rival of Pratt & Whitney in commercial engines and military engines and the only equally large engine aftermarket	Higher margin (20.2 percent) and a premium multiple; narrower, with no missile business
Lockheed Martin	Missiles and air defense (PAC-3, THAAD) compete and cooperate with Raytheon	Larger defense sales; lower margin and lower multiple; no commercial exposure
Northrop Grumman	Missiles, sensors and propulsion; supplier and competitor to Raytheon	Smaller scale, 13.4 percent margin, shares weakest in the group over twelve months
Honeywell	Avionics, auxiliary power units and aircraft systems against Collins	Higher margin on the provider perimeter, lower multiple
Safran, Rolls-Royce, Boeing Defense, General Dynamics, Thales	Engines (Safran, Rolls-Royce), defense systems and electronics	Not tabulated: non-U.S. reporting standards or segment structure make normalization impractical

Source: analyst selection (Reasoned). Peers were selected because they compete for the same customers, engineers and supplier capacity, not because of classification code.

A5. Competitive Differences

RTX's advantages rest on installed bases rather than brand. Pratt & Whitney's GTF family powers more than 2,600 aircraft for over 90 operators, and each engine generates spare-part and shop-visit revenue for decades under licensing and service agreements. Collins supplies content on nearly every Airbus and Boeing programme, with Boeing and Airbus together at 16 percent of its sales, so no single customer is dominant. Raytheon holds sole-source positions on programmes such as Patriot and the Standard Missile family where switching costs are measured in requalification and certification time. These advantages are structural: certification, intellectual property in rotating parts, data on in-service performance, and government licences. **SOURCED** Scale and capital access are also real advantages, since RTX can fund a US\$3.1bn capital programme and US\$3.7bn of dividends from internal cash flow. **REASONED**

The disadvantages are equally specific. Pratt & Whitney earns an adjusted operating margin of 8.3 percent against Collins at 16.2 percent, because a large share of its sales are low-margin original engines and because the powder metal matter drags on aftermarket economics. Airbus alone was 29 percent of Pratt & Whitney segment sales in 2025, so the engine business depends on one customer's production pace. U.S. government customers cap pricing on fixed-price development contracts. Goodwill and intangibles of US\$84.0bn reflect the 2020 merger and carry impairment risk. **SOURCED** These weaknesses are partly temporary (GTF remediation, which management says cut aircraft-on-ground levels by 25 percent year to date) and partly structural (government pricing, customer concentration). **REASONED**

MOAT ASSESSMENT: STRONG

Strong rather than very strong because ROIC was below the estimated 8.5 percent cost of capital in every year to FY2025 (8.4 percent in FY2025) and has only just crossed it at 9.4 percent, while the nearest peer (GE Aerospace) earns a 31 percent ROIC on a narrower portfolio. The moat protects the revenue base but has not yet delivered large economic profit. **REASONED**

A6. Industry Trend

Commercial aerospace is growing but constrained by supply. Air traffic demand supports a backlog equal to 57 percent of the active fleet and a requirement for more than 42,000 new aircraft by about 2045, with China and India accounting for about 45 percent of projected traffic growth. Aircraft output is limited by engines, castings and forgings, which prolongs the life of older aircraft and increases the importance of aftermarket parts and maintenance. MRO spending is projected to grow about 3.2 percent a year to 2036, which is a structural but not rapid trend. **SOURCED**

Defense is moving into a re-armament cycle. The U.S. FY2027 request for munitions is about 2.9 times the FY2026 level, and the Pentagon has identified 14 critical weapons for 2027 acceleration. Raytheon booked nearly US\$20bn of awards in Q2 2026, including more than US\$5bn for Patriot GEM-T effectors, and 48 percent of its US\$86bn backlog is international. **SOURCED**

The industry is therefore classified as growing and structurally transforming, with a cyclical overlay. The trend could reverse if: reconciliation funding fails, a recession cuts air traffic, a new durability problem appears in a major engine family, or supply constraints prove permanent so that customers cancel or defer. Structural trends are the installed base and the defense budget level; temporary conditions are the engine shortage and the GTF groundings. **REASONED**

A7. Management

EXECUTIVE TEAM

Name	Position	Background	2025 target direct pay, US\$m
Christopher T. Calio	Chairman, President and CEO (CEO since May 2024, Chairman since April 2025)	Joined UTC in 2005; former COO and President of Pratt & Whitney; trained as a lawyer (UConn)	27.7
Neil G. Mitchill Jr.	Executive Vice President and CFO	Former CFO of Pratt & Whitney, 17 years at PricewaterhouseCoopers; certified public accountant	11.1
Shane G. Eddy	President, Pratt & Whitney	Former Pratt & Whitney COO; earlier GE Aviation, Sikorsky and Bell	6.8
Philip J. Jasper	Named executive officer, title Not Retrieved	Not Retrieved	7.1
Troy D. Brunk	Named executive officer, title Not Retrieved	Not Retrieved	6.6

Source: RTX 2026 proxy statement (DEF 14A), CEO biography published by RTX (February 2025), and secondary biographical profiles for Mitchill and Eddy. Pay shown is total direct compensation as presented in the proxy summary (base, annual incentive and approved long-term grant), not the Summary Compensation Table.

Management has chosen to repay debt and rebuild the dividend rather than repurchase shares. After the 2023 share repurchase of US\$12.9bn (funded by debt), repurchases fell to US\$444m in 2024 and US\$50m in 2025, none in the first half of 2026, while long-term debt repaid was US\$2.5bn in 2024 and US\$3.4bn in 2025. The dividend has grown 7.6 percent to US\$2.92 per share, with a payout ratio of 51 percent of earnings and 35 percent of free cash flow. SOURCED Capital allocation has therefore been conservative since 2023. The 2023 buyback, funded largely by new debt, preceded the September 2023 powder metal announcement and the 30.9 percent drawdown that followed. REASONED

Guidance has been raised in 2026: initial adjusted EPS guidance of US\$6.60 to US\$6.80 has been raised to US\$7.10 to US\$7.25, and sales guidance from US\$92.0bn to US\$93.0bn to US\$95.0bn to US\$96.0bn. SOURCED Incentive design is mostly aligned with shareholders: annual bonuses use adjusted net income and free cash flow, and performance share units weight EPS and ROIC at 30 percent each and total shareholder return at 40 percent, with a 146 percent vesting factor for the 2023 to 2025 cycle. The use of adjusted metrics, which exclude about US\$1.9bn a year of acquisition accounting, favors management. Insider ownership is low (0.07 percent of shares). SOURCED

B. Evaluation

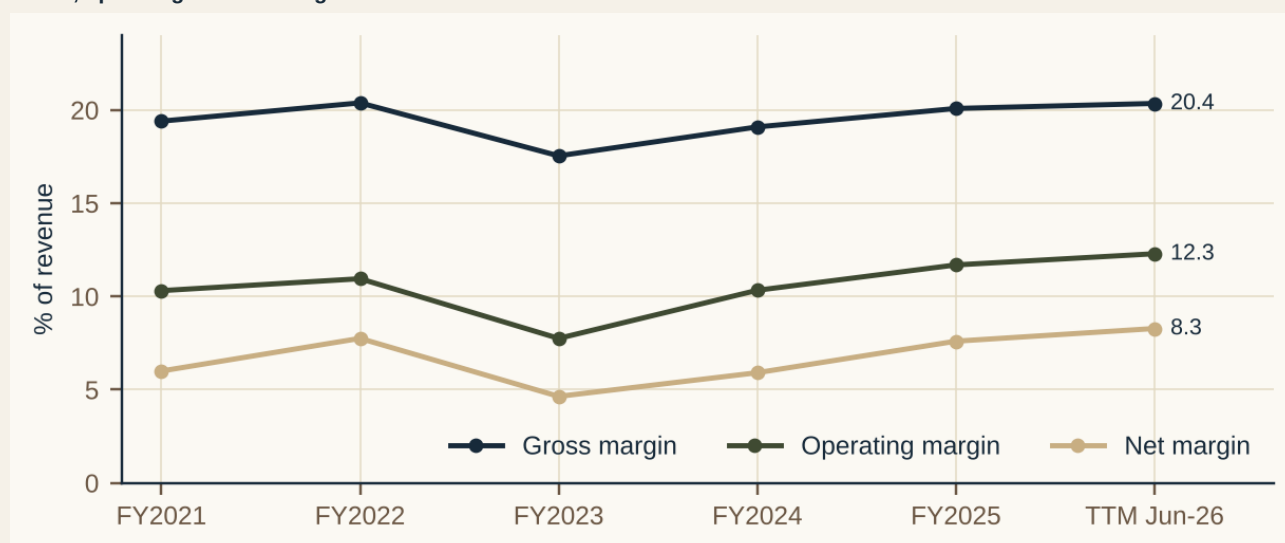
B1. Financial and Operating Metrics

PROFITABILITY AND RETURNS, US GAAP, REPORTED OR CALCULATED

Metric	FY21	FY22	FY23	FY24	FY25	TTM
Gross margin	19.4%	20.4%	17.5%	19.1%	20.1%	20.3%
Operating (EBIT) margin	10.3%	11.0%	7.8%	10.3%	11.7%	12.3%
EBITDA margin	17.4%	17.1%	13.9%	15.7%	16.6%	17.0%
Net margin	6.0%	7.7%	4.6%	5.9%	7.6%	8.3%
ROE	5.6%	7.2%	5.0%	8.1%	11.0%	12.3%
ROA	2.6%	2.9%	2.1%	3.2%	3.9%	4.2%
ROIC	5.4%	6.3%	4.7%	6.8%	8.4%	9.4%
Asset turnover	0.40	0.42	0.43	0.50	0.53	0.55
Inventory turnover	5.6x	5.4x	5.1x	5.3x	5.4x	5.2x

Source: StockAnalysis.com (S&P Global Market Intelligence) for ROE, ROA, ROIC and turnover; margins and EBITDA (operating income plus depreciation and amortization) are calculated from reported statements. TTM is the twelve months to 30 June 2026.

Gross, operating and net margin



Source: StockAnalysis.com (reported statements), calculated margins. Units: percent of revenue. Period: FY2021 to TTM June 2026.

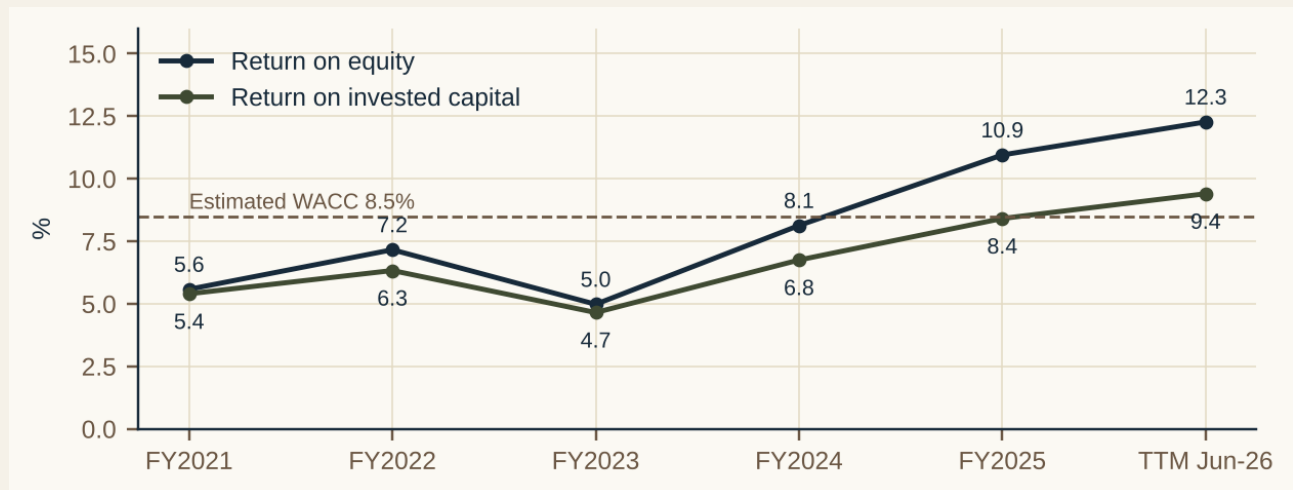
Interpretation. Margins fell sharply in FY2023, when the US\$2.9bn to US\$3bn powder metal charge was booked, and have since recovered to the highest level in the period. ROIC has roughly doubled from 4.7 percent to 9.4 percent but is only now at the estimated cost of capital, which means value creation is only just beginning on the capital invested in the 2020 merger. ROE of 12.3 percent is higher than ROIC because leverage of 0.57 times equity adds to the return. REASONED

GROWTH, LEVERAGE AND CASH FLOW METRICS

Metric	Value	Period	Basis
Revenue CAGR	8.3%	FY21 to FY25	Calculated
Operating income CAGR	11.8%	FY21 to FY25	Calculated
EBITDA CAGR	7.1%	FY21 to FY25	Calculated
GAAP EPS CAGR	18.0%	FY21 to FY25	Calculated
Free cash flow CAGR	12.6%	FY21 to FY25	Calculated
Organic revenue growth	16%	Q2 2026	Company
Debt to EBITDA	2.4x	TTM	Calculated
Net debt to EBITDA	1.9x	TTM	Calculated
Debt to equity	0.57x	Jun-26	Provider
Interest coverage (EBIT / interest)	6.8x	TTM	Provider
Free cash flow margin	12.2%	TTM	Calculated
Free cash flow yield	4.6%	TTM	Calculated
Operating cash flow to net income	1.84x	TTM	Calculated
Capex to revenue	3.0%	TTM	Calculated
Receivable days (includes contract assets)	129	TTM	Calculated
Inventory days	71	TTM	Calculated
Payable days	83	TTM	Calculated

Source: calculated from StockAnalysis.com financial statements (S&P Global Market Intelligence). EPS CAGR is distorted by the FY2021 base (restructuring) and by a lower share count after the 2023 repurchase; EPS growth is not business growth. Days are computed on TTM revenue and cost of sales; receivables include unbilled contract assets, and customer advances (unearned revenue) offset the apparent working-capital burden.

Return on equity and return on invested capital



Source: StockAnalysis.com (S&P Global Market Intelligence). WACC of 8.5 percent is the analyst estimate (see C5). Units: percent. Period: FY2021 to TTM June 2026.

B2. Risks

RISK REGISTER RANKED BY PROBABILITY TIMES IMPACT

Rank	Risk	Probability	Impact	Description
1	Valuation compression	High	High	32.5 times earnings and 17.6 times EBITDA versus 28 to 38 times and 14 to 19 times across FY2021 to FY2025; sector rotation could remove 15 to 25 percent of value without an earnings miss
2	Engine quality event (GTF or other family)	Medium	High	Powder metal cost US\$3bn pre-tax and about US\$1.5bn of cash in 2025; a second event would hit margins, customer trust and Airbus relations
3	Government funding and execution risk	Medium	High	About 55 percent of munitions request depends on reconciliation; production constraints in rocket motors and seekers may delay revenue
4	Airline traffic downturn	Low	High	Aftermarket revenue tracks flight hours; a recession would cut volumes and defer orders
5	Airbus customer concentration	Medium	Medium	29 percent of Pratt & Whitney sales; production pace controls GTF deliveries
6	Interest rates and refinancing	Medium	Medium	10-year Treasury yield at 5.22 percent; US\$5.5bn of debt due within a year; interest paid US\$1.9bn
7	Goodwill and intangible impairment	Low	Medium	US\$84.0bn equal to 126 percent of common equity
8	Supply chain and labor	Medium	Medium	Castings, forgings and rocket motors; about 32,000 employees under collective or representative agreements
9	Export controls, tariffs, geopolitics	Medium	Medium	47 percent international sales; regulatory approvals for foreign military sales
10	Cybersecurity and technology disruption	Low	Medium	Classified and commercial systems; AI-enabled and low-cost missile entrants

Source: analyst ranking (Reasoned), using facts from the FY2025 Form 10-K, the Q2 2026 results, the U.S. Treasury yield data and the sources in section G.

The three risks most capable of permanently impairing shareholder value are: (1) a second engine durability event, because it damages the installed-base franchise that justifies the multiple; (2) failure of the munitions ramp, either through funding or supply constraints, since the Raytheon backlog is the basis for the growth premium; and (3) paying a peak multiple at the peak of the recovery in margins, since de-rating without earnings downside is a lasting loss if earnings then plateau. **REASONED**

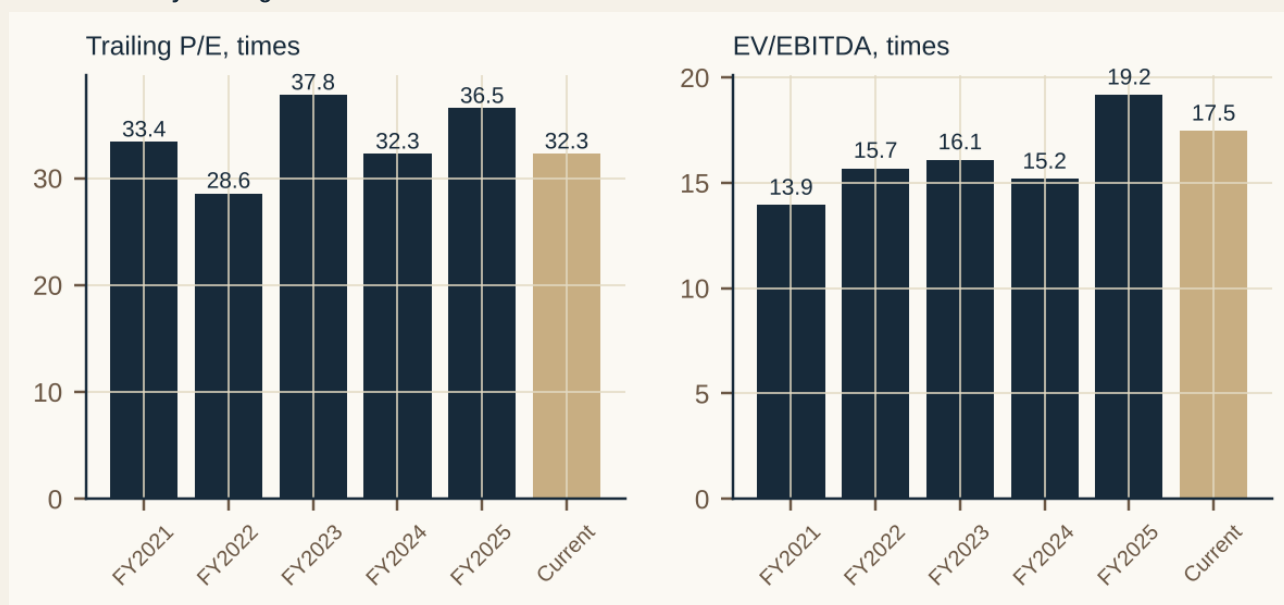
B3. Valuation

CURRENT MULTIPLES AT THE 8 OCTOBER 2026 CLOSE OF US\$184.32

Multiple	Value	Basis
Market capitalization	US\$248.5bn	Calculated: 1,348m shares times price
Enterprise value	US\$279.0bn	Calculated: market cap plus net debt of US\$30.6bn including leases
P/E, trailing	32.5x	Calculated: price over TTM GAAP EPS of US\$5.68
P/E, forward	25.7x	Calculated: price over adjusted EPS guidance midpoint of US\$7.175
EV/EBITDA, TTM	17.6x	Calculated: EBITDA US\$15.9bn
EV/EBIT, TTM	24.3x	Calculated: operating income US\$11.5bn
EV/Sales, TTM	3.0x	Calculated
P/S, TTM	2.7x	Calculated
P/FCF, TTM	21.8x	Calculated: FCF US\$11.4bn
P/FCF, FY2026 guidance	28.8x	Calculated: guided FCF midpoint US\$8.625bn
PEG	2.5x	Provider (StockAnalysis.com)
Dividend yield	1.6%	Calculated: US\$2.92 over price

Sources: StockAnalysis.com (statements and share count), RTX Q2 2026 results release (guidance). Provider market data were retrieved at the 9 October intraday print of US\$184.86; the report uses the 8 October close for consistency. Enterprise value excludes noncontrolling interests of US\$1.8bn.

Valuation history: trailing P/E and EV/EBITDA



Source: StockAnalysis.com annual ratios (year-end values); current value as of 6 October 2026. Units: times.

Own history. Current trailing P/E of 32.3 times (provider, 6 October) sits within the FY2021 to FY2025 range of 28.6 to 37.8 times, but EV/EBITDA of 17.5 times is above four of the five prior year-ends and below only FY2025 (19.2 times), so the valuation is full on enterprise terms. **SOURCED**

Peers. RTX trades at a premium to Lockheed Martin, Northrop Grumman and Honeywell on EV/EBITDA and forward P/E (25.0 times against 16.5, 16.6 and 22.7 times), and at a discount to GE Aerospace (28.5 times EBITDA, 36.2 forward P/E), whose ROIC is 31 percent against RTX's 9.4 percent. The premium over defense primes reflects commercial aerospace exposure and faster growth; the discount to GE reflects lower returns. **CALCULATED**

What the price assumes. In our DCF (section C5), the current price needs either a terminal-year EBITDA margin near 23 percent (versus 17.0 percent TTM and 19.6 percent in the base case), or a discount rate of about 7.7 percent, or revenue growth about 2.5 points above the base case in every year for ten years. Compared with the 7.7 percent three-year consensus revenue growth forecast and 11.2 percent EPS growth forecast reported by the data provider, expectations are best described as **Optimistic**: achievable if the aftermarket and munitions cycles both go well, but with little margin for error. REASONED

B4. Capital Market and Stock Analysis

PRICE PERFORMANCE TO 8 OCTOBER 2026 (TOTAL RETURN, RTX VERSUS S&P 500 VIA SPY)

Period	RTX	S&P 500	Difference
1 day	2.2%	n/a	n/a
1 week	-0.4%	n/a	n/a
1 month	-7.3%	n/a	n/a
3 months	-5.4%	n/a	n/a
6 months	-5.4%	18.6%	-24.0 pts
Year to date	0.6%	13.0%	-12.4 pts
1 year	12.3%	16.9%	-4.6 pts
3 years	180.5%	86.8%	93.7 pts
5 years	126.4%	89.0%	37.4 pts
5 years, annualized	17.8%	13.6%	4.2 pts

Source: Alpha Vantage adjusted weekly series (RTX, SPY) and StockAnalysis.com daily history; calculated. Periods of 6 months or more use the weekly close on or before the start date (year to date uses 26 December 2025, the last weekly close of 2025). The three-year figure starts from the October 2023 trough after the powder metal announcement and should be read with that base effect in mind. Daily-based returns exclude dividends.

Total return versus the S&P 500



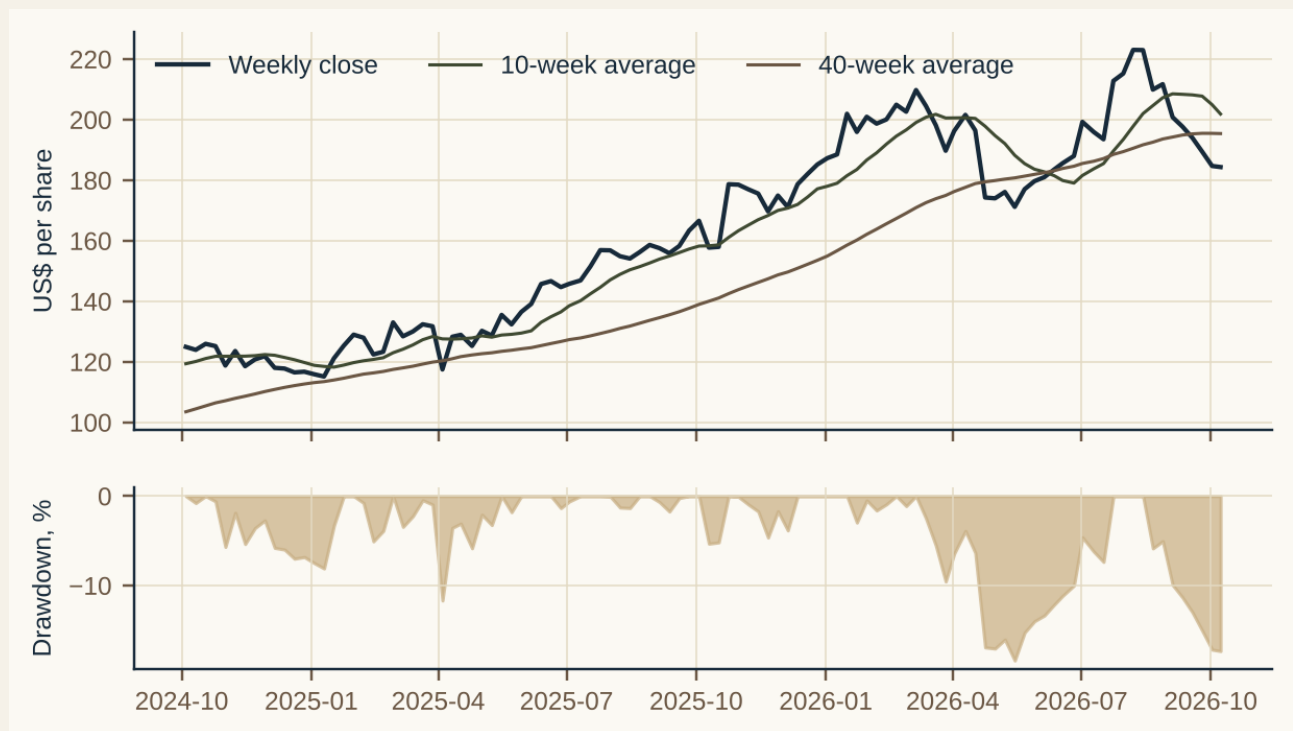
Source: Alpha Vantage adjusted weekly closes, RTX and SPY (S&P 500 proxy). Units: index, 8 October 2021 = 100. Period: five years to 8 October 2026.

VOLATILITY, DRAWDOWN AND MARKET BEHAVIOUR

Measure	Value	Basis
Annualized volatility, 1 year	27.9%	Calculated from weekly log returns
Annualized volatility, 3 years	24.2%	Calculated, weekly (S&P 500: 14.3%)
Annualized volatility, 5 years	24.5%	Calculated, weekly
Downside volatility, 3 years	16.5%	Calculated, weekly
Beta versus S&P 500, 3 years	0.55	Calculated, weekly (provider 5-year beta: 0.31)
Correlation with S&P 500, 3 years	0.32	Calculated, weekly
Maximum drawdown, 5 years	-30.9%	Weekly closes, trough 6 October 2023
Maximum drawdown, last 12 months	-18.4%	Trough week of 15 May 2026
Maximum drawdown since November 1999	-51.4%	Trough 21 September 2001 (series begins with predecessor United Technologies)
Current drawdown from the 18 August 2026 closing high of US\$225.49	-18.3%	Daily closes
52-week range (weekly highs and lows)	US\$155.64 to US\$226.88	Alpha Vantage weekly series

Source: calculated from Alpha Vantage adjusted weekly series. The low beta and correlation reflect the defensive, government-linked half of the portfolio and the stock-specific powder metal episode; a low beta does not imply low risk (annualized volatility is about twice the S&P 500's).

Weekly price with moving averages and drawdown



Source: Alpha Vantage weekly closes. Units: US\$ per share and percent. Period: October 2024 to October 2026. Weekly averages of 10 and 40 weeks approximate the 50-day and 200-day averages.

TECHNICAL INDICATORS AT 8 OCTOBER 2026

Indicator	Reading	Interpretation
50-day moving average	US\$203.28	Price is 9.3% below
200-day moving average	US\$194.98	Price is 5.5% below
RSI (14 days)	32.7	Near oversold; the provider reports 34.3
MACD (12, 26, 9)	-5.50, signal -5.40	Negative and below the signal line, momentum is weak but decelerating
ATR (14 weeks, weekly range)	US\$10.03	About 5.4 percent of price per week
Average volume (20 days)	3.9m shares	Provider; Q2 results week volume peaked at 9.9m on 23 July
Short interest	1.0% of shares	Provider; no short squeeze setup
Relative strength, 12 months	Peers: GE +1.3%, LMT -2.0%, NOC -22.1%, HON 0.0%	RTX +9.7 percent (provider) outperformed all four

Source: StockAnalysis.com statistics pages (50-day and 200-day averages, average volume, short interest, 52-week price change); RSI, MACD and ATR calculated from Alpha Vantage and StockAnalysis.com price data. Provider 52-week change for RTX is price only.

Reading. The stock gapped from US\$194.88 to US\$209.16 on the Q2 results on 23 July, peaked at US\$225.49 on 18 August after guidance was raised, and has since given back the entire gain in a steady downtrend, falling below both the 50-day and the 200-day averages with RSI near 33. The sector pulled back together (all four peers are below their 200-day averages with RSI between 35 and 39), so the move looks like a group rotation rather than a stock-specific shock. Technical structure is therefore weak in the near term but is a different matter from fundamental value: neither the oversold reading nor the downtrend says anything about the DCF range in section C5. REASONED

C. Financial Statements

All figures are US GAAP as reported by RTX and presented by StockAnalysis.com (S&P Global Market Intelligence); fiscal year ends 31 December. EBITDA, margins and growth are derived. Amounts are in US\$ million unless stated. TTM is the twelve months to 30 June 2026.

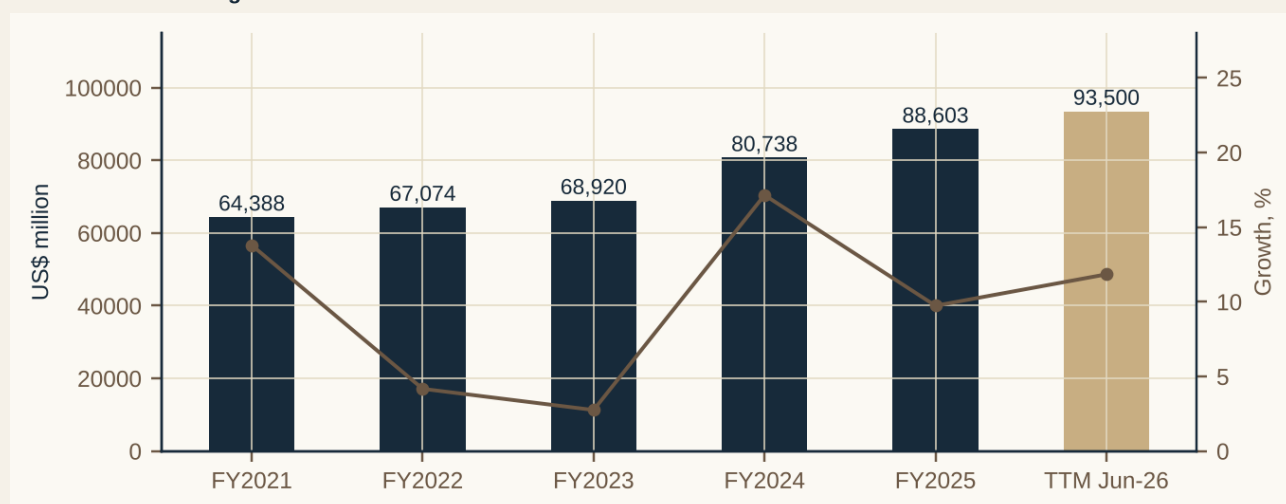
C1. Income Statement

INCOME STATEMENT SUMMARY, US\$ MILLION

Line	FY21	FY22	FY23	FY24	FY25	TTM
Revenue (reported)	64,388	67,074	68,920	80,738	88,603	93,500
Revenue growth (reported)	13.8%	4.2%	2.8%	17.2%	9.7%	11.8%
Gross profit (reported)	12,491	13,668	12,089	15,410	17,789	19,024
Operating income (reported)	6,636	7,347	5,341	8,341	10,357	11,495
Depreciation and amortization (reported)	4,557	4,108	4,211	4,364	4,378	4,400
EBITDA (derived)	11,193	11,455	9,552	12,705	14,735	15,895
Net income (reported)	3,864	5,197	3,195	4,774	6,732	7,738
Diluted EPS, US\$ (reported)	2.56	3.50	2.23	3.55	4.96	5.68
Adjusted EPS, US\$ (company)	n/a	n/a	n/a	5.73	6.29	n/a
Shares outstanding, millions	1,486	1,461	1,325	1,332	1,342	1,348

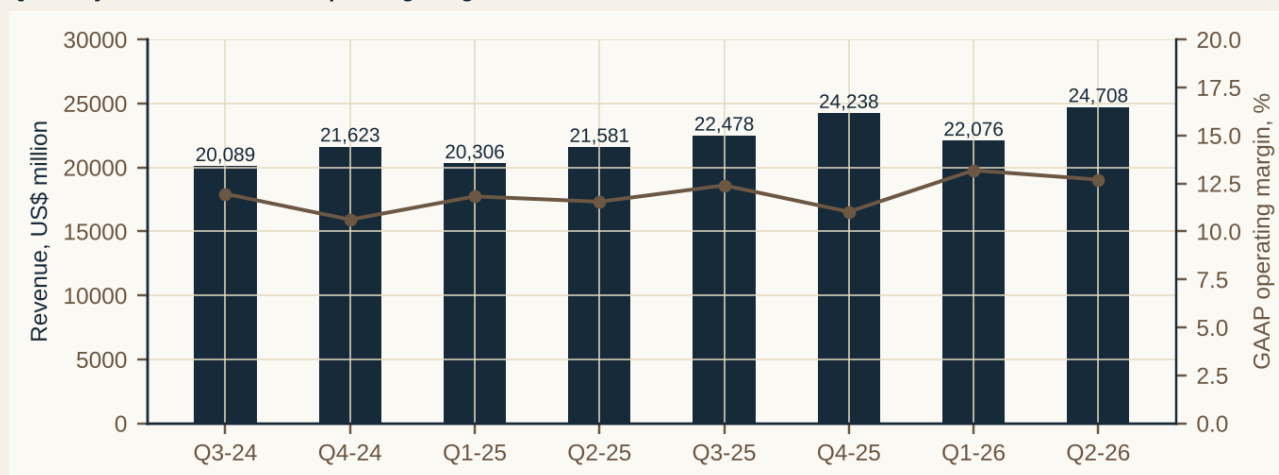
Source: StockAnalysis.com annual statements; adjusted EPS and FY2024 base from the RTX 2025 results release (27 January 2026). FY2024 growth is flattered by a weak FY2023 base: Q3 2023 revenue fell to US\$13.5bn from US\$18.3bn in Q2 2023, which we attribute to the powder metal charge (Reasoned). Net income is net income attributable to common shareholders as presented by the provider.

Revenue and annual growth



Source: StockAnalysis.com (reported). Units: US\$ million and percent. Period: FY2021 to TTM June 2026.

Quarterly revenue and GAAP operating margin



Source: StockAnalysis.com quarterly statements. Units: US\$ million and percent. Period: Q3 2024 to Q2 2026.

Where growth comes from. Growth is volume and mix, not acquisitions. Q2 2026 reported sales grew 14.5 percent and organic sales 16 percent; Pratt & Whitney commercial aftermarket grew 25 percent on higher shop-visit volume, military engine sales 23 percent on F135, while commercial original equipment fell 8 percent; Collins grew 13 percent organically, and Raytheon 18 percent. Price is a smaller contributor in fixed-price defense contracts and in cost-plus aftermarket agreements, and currency effects are not separately disclosed in the sources retrieved. **SOURCED**

Operating leverage and margins. GAAP operating margin rose from 7.8 percent in FY2023 (the year of the US\$2.9bn to US\$3.0bn powder metal charge) to 12.3 percent TTM, a 4.5-point recovery. Gross profit grew faster than revenue in each of the last two years (27.5 percent against 17.2 percent in FY2024 and 15.4 percent against 9.7 percent in FY2025), indicating positive operating leverage as higher-margin aftermarket sales and military engines replace low-margin original equipment. The GAAP margin includes about US\$1.9bn a year of acquisition accounting amortization (US\$945m in the first half of 2026), which is why adjusted segment profit and GAAP operating income differ. Margins are expanding. **CALCULATED**

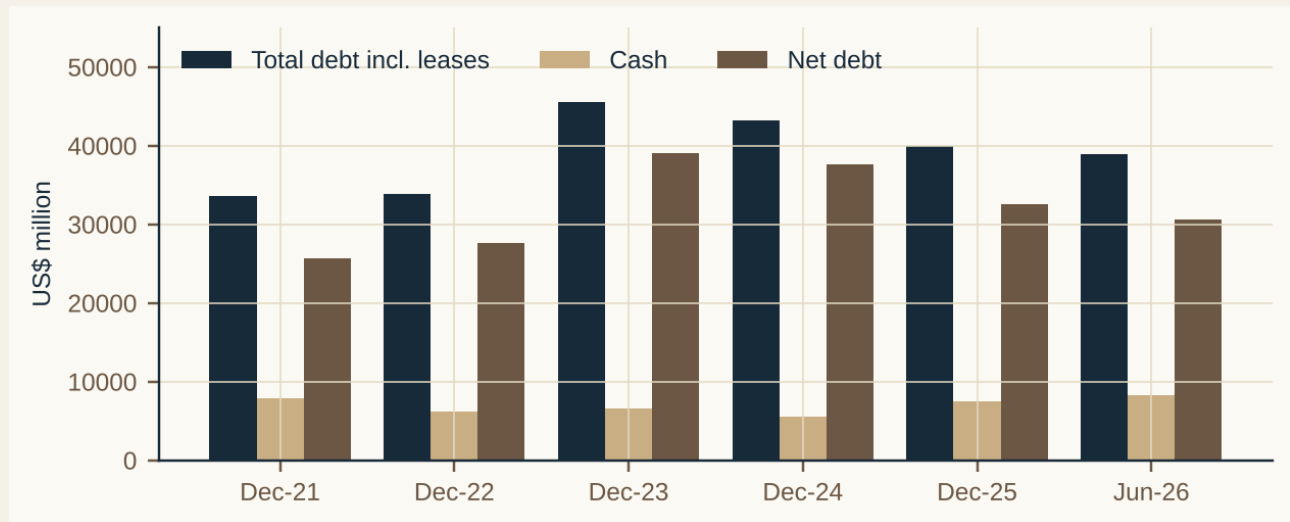
C2. Balance Sheet

BALANCE SHEET SUMMARY AT YEAR-END, US\$ MILLION

Line	Dec-21	Dec-22	Dec-23	Dec-24	Dec-25	Jun-26
Cash and equivalents	7,832	6,220	6,587	5,578	7,435	8,305
Receivables (incl. contract assets)	21,022	20,642	22,977	25,546	31,793	32,922
Inventory	9,178	10,617	11,777	12,768	13,364	14,409
Property, plant and equipment	16,930	16,999	17,386	17,953	18,755	18,692
Goodwill	54,436	53,840	53,699	52,789	53,343	52,928
Other intangible assets	38,516	36,823	35,399	33,443	31,845	31,043
Total assets	161,404	158,864	161,869	162,861	171,079	173,972
Accounts payable	8,751	9,896	10,698	12,897	15,895	16,998
Current unearned revenue	13,720	14,598	17,183	18,616	21,615	22,671
Total debt (incl. leases)	33,553	33,856	45,587	43,260	39,956	38,856
Pension and post-retirement	7,855	4,807	2,385	2,104	2,067	1,956
Common equity	73,068	72,632	59,798	60,156	65,245	66,377
Net debt (incl. leases)	25,721	27,636	39,000	37,682	32,521	30,551
Working capital	6,601	3,329	1,656	-366	1,548	667

Source: StockAnalysis.com balance sheets (S&P Global Market Intelligence, updated 23 July 2026). Net debt is total debt including lease liabilities less cash. The company's own debt measure (short-term borrowings, current and long-term debt, excluding leases) was US\$37.4bn at 30 June 2026 against cash of US\$8.3bn, or net debt of US\$29.1bn.

Debt, cash and net debt



Source: StockAnalysis.com balance sheets. Units: US\$ million. Total debt includes lease liabilities.

Strength. Net debt peaked at US\$39.0bn at end of 2023 (4.1 times EBITDA) after the debt-funded share repurchase and has fallen by US\$8.4bn to US\$30.6bn (1.9 times EBITDA). The current ratio is 1.01 and the quick ratio 0.65, equity is 39.2 percent of assets, and working capital is thin at US\$0.7bn, which is normal for a business funded by customer advances (unearned revenue of US\$22.7bn). Debt due within a year is US\$5.5bn against US\$8.3bn of cash. Interest coverage is 6.8 times. CALCULATED

Red flags. Goodwill and intangibles total US\$84.0bn, 48 percent of assets and 126 percent of common equity, and tangible book value is negative at US\$17.6bn; any impairment would be non-cash but would trigger covenant and sentiment effects. Receivables including contract assets rose from US\$21.0bn to US\$32.9bn between 2021 and mid-2026 (+57 percent against revenue +45 percent), and the FY2025 cash flow statement shows a US\$5.9bn increase in receivables offset by US\$3.4bn higher payables and US\$2.8bn higher customer advances; this is a working-capital build to monitor. Pension obligations have shrunk from US\$7.9bn to US\$2.0bn, a positive. Off-balance-sheet obligations beyond leases are Not Retrieved. CALCULATED

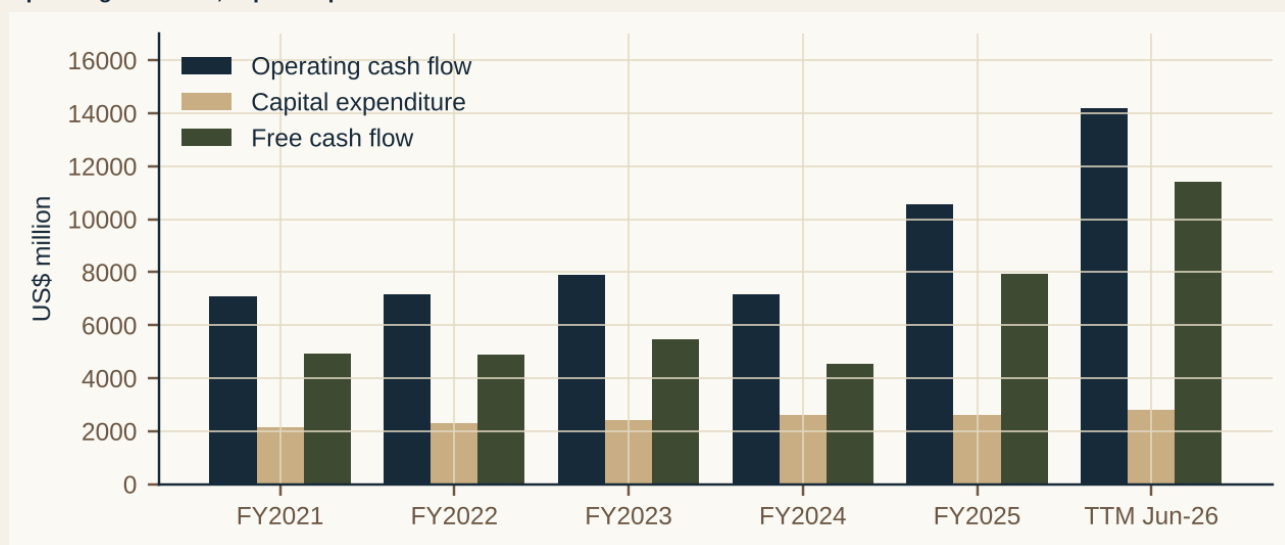
C3. Cash Flow Statement

CASH FLOW SUMMARY, US\$ MILLION

Line	FY21	FY22	FY23	FY24	FY25	TTM
Operating cash flow	7,071	7,168	7,883	7,159	10,567	14,206
Capital expenditure	-2,134	-2,288	-2,415	-2,625	-2,627	-2,799
Free cash flow (derived)	4,937	4,880	5,468	4,534	7,940	11,407
Free cash flow margin	7.7%	7.3%	7.9%	5.6%	9.0%	12.2%
Dividends paid	-2,957	-3,128	-3,239	-3,217	-3,574	-3,722
Share repurchases	-2,327	-2,803	-12,870	-444	-50	n/a
Net debt issued (repaid)	-305	487	11,812	-2,500	-3,429	-4,596
Divestitures	1,879	94	6	1,795	1,931	1,931
Acquisitions	-1,088	-66	n/a	n/a	n/a	n/a
Operating cash flow to net income	1.83x	1.38x	2.47x	1.50x	1.57x	1.84x
Free cash flow to net income	1.28x	0.94x	1.71x	0.95x	1.18x	1.47x
Dividend cover by free cash flow	1.7x	1.6x	1.7x	1.4x	2.2x	3.1x

Source: StockAnalysis.com cash flow statements; FY2025 free cash flow of US\$7,940m matches the company-reported figure. Derived ratios are calculated. n/a means not reported for the period. The company reported first-half 2026 free cash flow of US\$4,187m (second quarter US\$2,878m).

Operating cash flow, capital expenditure and free cash flow



Source: StockAnalysis.com (reported, derived). Units: US\$ million. Period: FY2021 to TTM June 2026.

Quality of earnings. Cash generation exceeds accounting earnings in every period, because depreciation and amortization of US\$4.4bn (of which about US\$1.9bn is acquisition-related) and stock compensation of US\$1.2bn are added back and customer advances finance receivables growth. The TTM free cash flow of US\$11.4bn is, however, not a run rate. FY2026 guidance of US\$8.50bn to US\$8.75bn implies a second-half 2026 free cash flow of about US\$4.3bn to US\$4.6bn, and the TTM figure includes the very weak first half of 2025 base. At guided cash flow, free cash flow yield falls from 4.6 percent to 3.5 percent. Net income is therefore not equal to cash generation in either direction: it understates it in structural terms (non-cash amortization) and the TTM overstates it in timing terms (working capital, customer advances). CALCULATED

C4. Forecasting and Projections

Revenue modeling. We take the midpoint of the FY2026 adjusted sales guidance (US\$95.0bn to US\$96.0bn, or US\$95.5bn), which already embeds 8 to 9 percent organic growth, and fade growth from 6.5 percent in 2027 to 3.0 percent by 2034. Drivers by segment are: Pratt & Whitney, aftermarket volume and military engines offsetting lower original equipment; Collins, mid-to-high single-digit growth guided by management; Raytheon, backlog conversion with growth of 8 to 10 percent for several years as production ramps. Market share evolution is not separately disclosed in the sources retrieved. **REASONED**

Margins. EBITDA margin (GAAP operating income plus D&A) is set at 17.5 percent in 2026, close to the 17.0 percent TTM level, and rises 0.3 points a year to 19.6 percent by 2033 as higher-margin aftermarket revenue grows faster than original equipment and as Pratt & Whitney moves toward a low double-digit segment margin. R&D and SG&A intensity are held at current ratios (SG&A and other operating expenses 8.1 percent of sales). **REASONED**

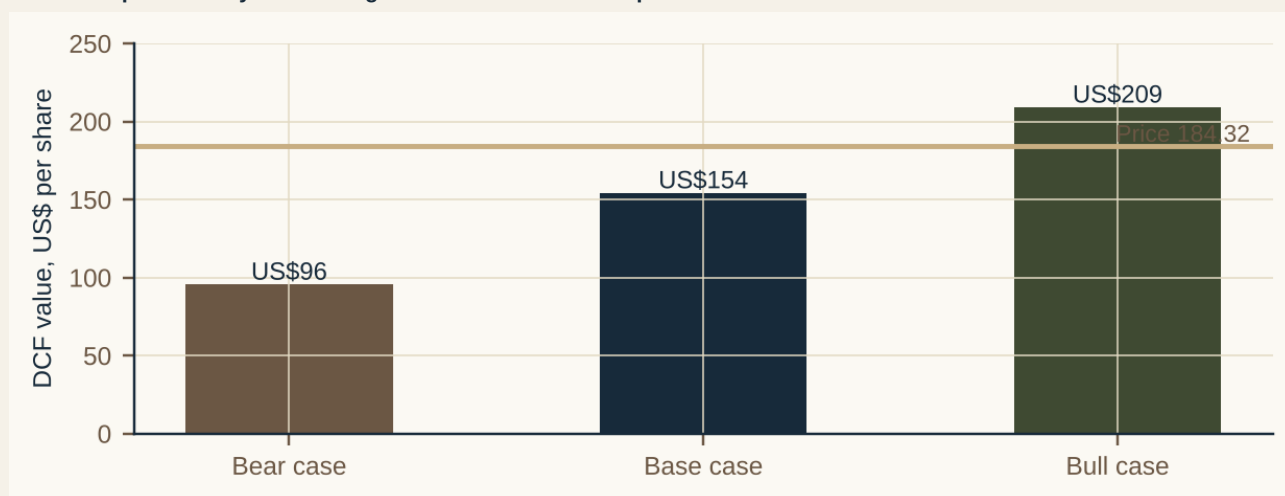
Working capital and capex. Capital expenditure is US\$3.1bn in 2026 (company capex plan cited in the press) and 3.3 percent of sales afterwards, higher than the current 3.0 percent to fund missile capacity (growth capex). Working capital absorbs 8 percent of incremental revenue, a figure between FY2024 and FY2025 (-US\$1.1bn and -US\$1.3bn change in working capital) and the positive TTM figure. **REASONED**

BASE CASE FORECAST, US\$ MILLION

Line	2026E	2027E	2028E	2030E	2033E	2035E
Revenue	95,500	101,708	107,810	119,426	134,335	142,516
Growth	7.8%	6.5%	6.0%	5.0%	3.5%	3.0%
EBITDA	16,712	18,104	19,514	22,333	26,330	27,933
EBITDA margin	17.5%	17.8%	18.1%	18.7%	19.6%	19.6%
NOPAT (19% tax on EBIT)	9,892	10,910	11,939	13,987	16,844	17,870
Depreciation and amortization	4,500	4,635	4,774	5,065	5,534	5,871
Capital expenditure	-3,100	-3,356	-3,558	-3,941	-4,433	-4,703
Change in working capital	-552	-497	-488	-455	-363	-332
Unlevered free cash flow	10,740	11,692	12,667	14,656	17,582	18,706

Source: analyst model (Estimates and assumptions). 2026E is built from guidance midpoint; the unlevered free cash flow of US\$10.7bn exceeds company FCF guidance of US\$8.5bn to US\$8.75bn because it is before after-tax interest of about US\$1.5bn and uses a tax rate of 19 percent on EBIT rather than cash taxes and pension and restructuring payments. Years 2029, 2031, 2032 and 2034 are in the model but omitted for space.

DCF value per share by scenario against the 8 October 2026 price



Source: analyst model. Units: US\$ per share. Bear: growth 2.5 to 3.0 percent, margin flat at 17.0 percent, WACC 9.0 percent, terminal growth 2.0 percent. Bull: growth 8.5 percent fading to 3.0 percent, margin reaching 21.5 percent, WACC 8.0 percent.

C5. Discounted Cash Flow (DCF) Model

DCF ASSUMPTIONS AND OUTPUT, BASE CASE

Item	Assumption or result
Valuation date and horizon	Net debt at 30 June 2026; cash flows from second half of 2026 to 2035, mid-period discounting
Revenue	US\$95.5bn in 2026E, growth fading from 6.5% (2027) to 3.0% (2034 and 2035); US\$142.5bn in 2035E
Margin	EBITDA margin 17.5% in 2026E rising 0.3 points a year to 19.6% from 2033
Tax	19% of EBIT (analyst assumption)
Capital expenditure	US\$3.1bn in 2026E, then 3.3% of revenue
Working capital	8% of incremental revenue
WACC	8.5%: risk-free 5.22% (10-year Treasury, 8 October 2026), equity risk premium 4.5%, beta 0.85, cost of equity 9.0%, pre-tax cost of debt 6.2%, 13.5% debt weight
Terminal growth	2.5% (below nominal GDP growth)
Terminal value	US\$319.6bn at end-2035 (implied 11.4x terminal EBITDA); present value US\$147.2bn, or 60% of enterprise value
Sum of discounted cash flows	US\$97.0bn
Enterprise value	US\$244.3bn
Less: net debt, noncontrolling interests, pension	US\$30.6bn, US\$1.8bn and US\$2.0bn
Equity value	US\$210.0bn
Diluted shares	1,362 million (net income over diluted EPS, Q2 2026)
Value per share, base case	US\$154

Source: analyst model (Estimates and assumptions); inputs from StockAnalysis.com, RTX Q2 2026 release and U.S. Treasury yield data. The beta of 0.85 is an assumption between the observed 0.55 (3-year, weekly) and a market beta of 1.0, because regression beta understates the risk of a business with a stock-specific drawdown history. Interest rates are at 5.2 percent, so discount-rate risk is large; the DCF is shown as a range, not as a point estimate of intrinsic value.

SENSITIVITY: WACC (ROWS) AGAINST TERMINAL GROWTH (COLUMNS), VALUE PER SHARE, US\$

WACC	1.5%	2.0%	2.5%	3.0%	3.5%
7.5%	166	177	191	207	228
8.0%	151	160	171	184	200
8.5%	138	145	154	165	177
9.0%	127	133	140	149	159
9.5%	117	122	128	135	143

SENSITIVITY: REVENUE GROWTH (COLUMNS, CHANGE VERSUS BASE EACH YEAR) AGAINST TERMINAL EBITDA MARGIN (ROWS), VALUE PER SHARE, US\$

Terminal margin	-2 pts	-1 pt	Base	+1 pt	+2 pts
17.5% (flat)	117	125	134	144	154
18.5%	126	135	145	155	166
19.6% (base)	134	144	154	165	177
21.0%	146	156	167	179	192
22.0%	154	165	177	190	203

Source: analyst model. WACC 8.5 percent and terminal growth 2.5 percent in the second table. Margin in the first-year row is held at 17.5 percent; higher terminal margins are reached by 2033 in equal steps.

Valuation range. For discount rates of 8.0 to 9.0 percent and terminal growth of 2.0 to 3.0 percent the value ranges from US\$133 to US\$184 per share, centered on the base case of US\$154. The scenarios are US\$96 (bear) to US\$209 (bull). The 8 October

price of US\$184.32 sits at the upper edge of the reasonable range and needs the bull-case margin or a discount rate near 7.7 percent. CALCULATED

C6. Leveraged Buyout (LBO) Model

Not applicable. At an enterprise value of US\$279bn and a free cash flow yield of under 5 percent, a leveraged buyout is not financeable at any realistic scale, and a classified and government-regulated defense portfolio would also face foreign-ownership and national-security review. No LBO analysis is presented. REASONED

D. Investment Thesis

Bull Case

The bull case is that RTX is a decade-long compounder: backlog of US\$289bn converts at 8 to 9 percent organic growth; commercial aftermarket keeps growing at double-digit rates for several years as the GTF fleet matures; the Raytheon ramp lifts that segment margin from 12.6 percent to 14 percent or more as volume absorbs fixed cost; Pratt & Whitney moves from 8.3 percent toward 12 percent; and the group EBITDA margin reaches 21.5 percent. Free cash flow then rises well above current guidance and supports a restart of buybacks. At an 8.0 percent discount rate this scenario is worth about US\$209 per share, 13 percent above the current price, and a market that keeps paying 18 to 20 times EBITDA would support more. **CALCULATED**

Bear Case

The bear case assumes that growth slows to 2.5 to 3 percent after 2026, because reconciliation funding is not passed, rocket motor supply constraints delay the missile ramp, and an airline downturn or engine quality event reduces aftermarket volume. Margins stay flat at 17 percent, capital requirements remain at 3.3 percent of sales, and debt reduction slows. With the discount rate at 9.0 percent and terminal growth at 2.0 percent the DCF falls to about US\$96 per share, 48 percent below the current price. The implied enterprise value is about 10 times trailing EBITDA, close to the 10.7 to 11.5 times at which Honeywell and Northrop Grumman trade today. **CALCULATED**

Base Case

Revenue growth of 7.8 percent in 2026 (guidance), fading from 6.5 percent to 3 percent, a gradual 2.1-point rise in EBITDA margin to 19.6 percent, free cash flow of US\$8.6bn in 2026 growing toward US\$12bn to US\$13bn by 2029 to 2030 after interest, and continued dividend growth. Continued debt reduction takes net debt to EBITDA below 1.5 times by 2028. The base DCF is about US\$154 per share. The stock at US\$184.32 is therefore pricing a result between our base and bull cases. **REASONED**

Catalysts

POTENTIAL CATALYSTS

Event	Timing	Why it matters
Third-quarter 2026 earnings	20 October 2026	First test of raised guidance; aftermarket, Raytheon bookings and free cash flow
Munitions reconciliation bill and FY2027 appropriations	Late 2026 to 2027	Determines roughly 55 percent of the U.S. munitions request
GTF Advantage deliveries and aircraft-on-ground levels	Through 2026 and 2027	Margin recovery at Pratt & Whitney and customer compensation costs
Blue Canyon sale and other portfolio actions	2026	US\$620m proceeds; confirms pruning and reduces debt
Resumed buybacks or dividend increases	Not announced	Signals management confidence once net debt falls below 1.5 times EBITDA
Interest rates	Ongoing	A fall in the 10-year Treasury yield from 5.2 percent would raise DCF value materially

Source: RTX Q2 2026 results release, StockAnalysis.com (earnings date 20 October 2026), analyst assessment.

Things to Monitor

MONITORING LIST

Metric or event	Why it matters	Positive	Negative
Pratt & Whitney adjusted margin	Largest drag on group margin	Above 9% in Q3 2026	Below 8%
Commercial aftermarket growth	Highest-margin revenue pool	15% or more at Pratt & Whitney	Under 10%
Raytheon book-to-bill and margin	Backlog conversion and munitions ramp	Above 1.2 and margin above 12.5%	Below 1.0 or margin under 11%
Free cash flow versus guidance	Earnings quality	Above US\$8.75bn	Below US\$8.25bn
Net debt to EBITDA	Balance-sheet risk	Under 1.7x by year-end	Above 2.2x
Receivables and contract assets	Working-capital build	Growing below revenue	Growing above revenue by 5 points or more
Reconciliation funding	Government demand	Passed with munitions lines intact	Dropped or delayed to 2028
GTF aircraft on the ground	Customer and cash cost	Falling year on year	New inspection or recall

E. Final Investment Framework

BUSINESS QUALITY	Good. Installed-base annuity across engines, avionics and missiles; limited by government pricing and by dependence on a few large customers.
FINANCIAL QUALITY	Good. Cash conversion above 1.5 times net income and ROIC at 9.4 percent, but GAAP figures trail adjusted by about US\$1.9bn a year, and goodwill is 126 percent of equity.
COMPETITIVE POSITION	Strong. A leading engine maker and a leading supplier of air defense missiles; second-tier margins against GE Aerospace.
MANAGEMENT	Good, with caution. Debt reduction and dividend discipline since 2023, guidance raised in 2026; the 2023 buyback and the powder metal matter were costly, and executive pay is based on adjusted metrics.
INDUSTRY	Favorable. Supply-constrained commercial aerospace with a 17,000-aircraft backlog and a defense re-armament cycle, both exposed to cycles and policy.
VALUATION	Full. The price sits at the top of our DCF range (US\$133 to US\$184) and at a premium to defense peers, requiring bull-case margins or a discount rate near 7.7 percent.
TECHNICAL AND MARKET STRUCTURE	Weak in the short term. Below the 50-day and 200-day averages, RSI 33, 18 percent below the August high, within a sector-wide pullback. Volatility of 24 percent a year against 14 percent for the S&P 500.
PRINCIPAL RISK	A second engine durability event or a failure of the munitions ramp, either of which would damage the earnings growth that supports the multiple.
PRINCIPAL CATALYST	Third-quarter results on 20 October 2026 and the passage of munitions reconciliation funding.
KEY VARIABLE	Group EBITDA margin: each additional point of terminal EBITDA margin is worth about US\$9 to US\$10 per share in the DCF.
THESIS INVALIDATION	The investment thesis would become materially weaker if Pratt & Whitney adjusted margin falls below 8 percent for two consecutive quarters, if net debt to EBITDA rises above 2.2 times, if free cash flow comes in below US\$8.25bn for FY2026, or if reconciliation munitions funding is dropped without replacement.

F. Data Table

Category	Metric	Current	Prior year	3Y / 5Y trend
Market	Market capitalization	US\$248.5bn	US\$245.9bn (Dec-25)	Up 93% from Dec-21 US\$129.0bn (5Y)
Market	Enterprise value	US\$279.0bn	US\$282.5bn (Dec-25)	Up 79% from Dec-21 US\$156.0bn
Market	Share price	US\$184.32	US\$166.58 (3 Oct 2025)	Up 180% in 3 years
Growth	Revenue growth (TTM)	11.8%	9.7% (FY25)	CAGR 8.3% FY21 to FY25
Profitability	Gross margin (TTM)	20.3%	20.1% (FY25)	Up from 19.4% in FY21
Profitability	Operating margin (TTM)	12.3%	11.7% (FY25)	Up from 10.3% in FY21; trough 7.8% FY23
Profitability	Net margin (TTM)	8.3%	7.6% (FY25)	Up from 6.0% in FY21
Profitability	ROE	12.3%	11.0% (FY25)	Up from 5.6% in FY21
Profitability	ROIC	9.4%	8.4% (FY25)	Up from 5.4% in FY21
Cash flow	Operating cash flow (TTM)	US\$14.2bn	US\$10.6bn (FY25)	Up from US\$7.1bn in FY21
Cash flow	Free cash flow (TTM)	US\$11.4bn	US\$7.9bn (FY25)	CAGR 12.6% FY21 to FY25
Leverage	Net debt / EBITDA	1.9x	2.2x (FY25)	Down from 4.1x in FY23
Valuation	P/E (trailing)	32.5x	36.5x (FY25 year-end)	Range 28.6x to 37.8x FY21 to FY25
Valuation	EV/EBITDA	17.6x	19.2x (FY25 year-end)	Range 13.9x to 19.2x FY21 to FY25
Valuation	P/FCF	21.8x TTM; 28.8x on guidance	31.0x (FY25 year-end)	Range 22.1x to 34.0x FY21 to FY25
Market	Beta (3Y weekly)	0.55	n/a	Provider 5Y beta 0.31
Market	Annualized volatility (3Y)	24.2%	27.9% (1Y)	5Y 24.5%
Market	Maximum drawdown	-18.4% (12 months)	n/a	-30.9% in 5 years; -51.4% since 1999

Source: StockAnalysis.com annual ratios, statements and statistics; Alpha Vantage weekly series; calculated by the analyst. Prior-year share price is the weekly close of 3 October 2025, the last weekly close on or before the same date a year earlier; prior-year market capitalization and enterprise value are year-end 2025 provider values.

G. Sources and Methodology

Data cross-check

Before analysis, the main figures were compared across sources. Reported statements (revenue, net income, EPS, operating cash flow, free cash flow) agree between the company releases and the data provider: FY2025 revenue US\$88,603m, diluted EPS US\$4.96, operating cash flow US\$10,567m and free cash flow US\$7,940m; Q2 2026 revenue US\$24,708m and GAAP EPS US\$1.57. The 8 October closing price of US\$184.32 is identical in the weekly series and the daily history. Remaining differences and the treatment adopted are shown below.

DISCREPANCIES AND PREFERRED SOURCE

Item	Difference	Treatment
Net debt	Company debt excluding leases gives US\$29.1bn; provider including leases gives US\$30.6bn	Provider figure used for consistency with prior years; both shown
Enterprise value	Provider US\$280.0bn at the 9 October intraday price; report US\$279.0bn at the 8 October close	Report calculation preferred (completed trading day)
Debt to EBITDA	Provider 2.37x; report 2.44x	Provider EBITDA definition differs; report calculation uses operating income plus D&A
Beta	Provider 5-year 0.31; report 3-year weekly 0.55	Calculated beta used in the DCF discussion, with an assumed 0.85
Free cash flow	Provider TTM US\$11.4bn; company FY2026 guidance US\$8.50bn to US\$8.75bn	Both shown; valuation uses both bases
EPS	GAAP US\$5.68 TTM versus adjusted guidance US\$7.10 to US\$7.25	GAAP used for trailing multiples, adjusted for forward
Backlog split	Year-end 2025 US\$161bn commercial and US\$107bn defense; June 2026 US\$170bn and US\$119bn	Company releases (primary) used

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Calculations

Calculated by the analyst rather than reported: EBITDA (operating income plus depreciation and amortization), free cash flow where derived (operating cash flow less capital expenditure), margins and growth rates, CAGR, net debt to EBITDA, debt to EBITDA, working-capital days, market capitalization (price times 1,348 million shares), enterprise value (market capitalization plus net debt including leases, excluding noncontrolling interests), trailing and forward multiples, total returns, annualized volatility, downside volatility, beta, correlation, drawdown, RSI, MACD and ATR, all DCF outputs, scenarios and sensitivities. Volatility, beta and correlation use weekly log returns from the adjusted close series over the stated windows, annualized by the square root of 52. RSI uses a 14-day Wilder average of daily closes; MACD uses 12, 26 and 9-day exponential averages; ATR uses the average of 14 weekly true ranges. DCF assumptions are Estimates and assumptions by the analyst and are stated in section C5; the label Reasoned marks analyst interpretation and Sourced marks facts taken from the sources above. Accounting is US GAAP throughout; adjusted figures are company non-GAAP measures and are labelled as such.

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